

Cloud Senior Leadership Team

May 1, 2026



Cloud SLT agenda

Cloud SLT – Friday 5/1

Topic	Details
1. Program updates	Summary of key progress, wins, decisions, and next steps made since the previous SLT review, including items coming out of the latest XCOM meeting
2. Overall program progress snapshot	Snapshot view of migration progress, key metrics, and priority items since the last SLT update
3. Budget	Overview of the initial budget ask, what was approved, and the target for FY27
4. CCoE & Core Services	Update on CCoE and Core Services progress, upcoming activities, and key metrics across AWS / Azure
5. RAID Log	Review of key Risks, Assumptions, Issues, and Dependencies, including newly identified items, mitigation actions, and any escalations requiring SLT awareness
6. Appendix	Four Pillars Assessment (metric definitions), ADFS SOL, Budget

Cloud transformation: momentum across migrations and exits

Financial – at risk

Resource – on track

Timeline – on track

- **Global execution on track:** Global migration execution expanding across EMEA, North America, APAC with continued DC decommissioning progress
- **AWS migration improvements:**
 - **Migration operating standards:** Unified model and IaC guardrails in execution; enablement scaled through Terraform training, playbooks, and office hours
 - **Governance & continuity:** Weekly standardized reporting launched; decommission dashboards live; KPI tracking and Day 2 readiness advancing
- **Azure MACC:** Microsoft deal delays impacting Azure resource availability; NA funding constraints remain a key dependency to accelerate delivery
- **SBS RUN:** Continued roadmap alignment; **blocked on Azure funding closure**
- **FY27 Cloud Mod budget:** Approved funding of \$38M reflects a \$10M reduction vs. \$48M bottoms-up ask; cost optimization levers and scope prioritization are in progress to align to target

Migrations

ESI

- ☐ Workforce migrations progressing; completion targeted by fiscal year-end
- ✓ ADP World go-live completed (4/25)
- ☐ MijnADP, CI-IoM, Payslips Online targeting early June for go-live

GETS

- ✓ Siebel production go-live completed (4/20)
- ✓ IGA Connector, IBM BAW staging + non-prod handoffs completed
- ☐ Citrix timeline reset; targeting **5/15 go-live**

DC decommissioning

- ✓ China (DC10/11): 80/97 MFT clients migrated; Siebel migration complete; AD shutdowns executed
- ✓ Australia (DC7a/7b): **550 servers decommissioned (83%)**; majority of major apps completed
- ✓ Europe (DC4/5): Optimization effort - **238 devices migrated (82%)**; 51 remaining

Enablement

- ✓ US East-2 ready to use, pending budget approval for usage
- ✓ AWS AD domain join, OU v2, and IAM persona designs approved by DA
- ✓ SQL Server on EC2 & RDS and Oracle on RDS IaC Modules complete
- ☐ Awaiting Azure funding closure to expedite ongoing design and development efforts

Digital workplace & virtualization

- ☐ SharePoint migration **100% complete; ~10 weeks ahead of schedule**
- ☐ Citrix External EMEA: 96% ready; go-live target **mid-May**
- ☐ Citrix Internal AUS/China: migrations accelerated (DC closure June)

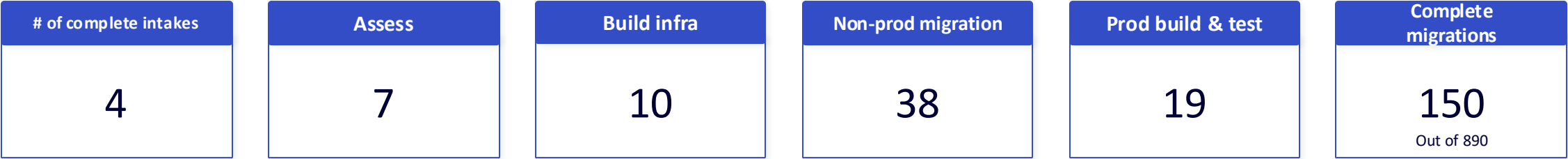
Looking ahead

- ☐ Finalize FY27 Cloud Mod budget through scope prioritization, sequencing, and cost optimization
- ☐ Execute Azure MACC agreement in final stages with legal team
- ☐ Create quarterly outcome and financial view for FY27 NA cloud acceleration initiatives

Legend: ✓ Completed task ☐ In progress task

Migration program progress across the ADP landscape

● Overall status: **On Track**



Newly implemented process

Metrics are derived from updates recorded in the Migration Tracker and exclude retiring products

Since last SLT					
+3 Net complete	-1 Net new	+1 Net new	-1 Net new	-4 Net new	+6 Complete
Next to production		Live in production		Four Pillars Assessment	
• IBM BAW – 5/9/26		• NL Workforce – client migrations wave 9		• Cost: Metrics / data available; Dashboard pending	
• Citrix – 5/15/26		• Siebel		• Resiliency: Metrics available; Leadership discussions in progress	
• Active Directory EMEA – 6/1/26		• ADP World – ongoing client migrations		• Security: Data is available; identifying the most critical metrics for reporting.	
• IGA Connector - 7/10/26				• Speed: On hold pending confirmed metrics	
Key risks		Watch items		SLT asks	
• Delays in the execution of the Azure MACC agreement		• Availability of current state product technical documentation to support intake and design		• Reinforce and support responsiveness for intake process and migration activities	
• Active Directory at risk of delay due of 2-3 weeks due to ADP resource limitations; Acquiring backfill.		• Complexity of product hierarchy can lead to extra steps in building migration plan and design			

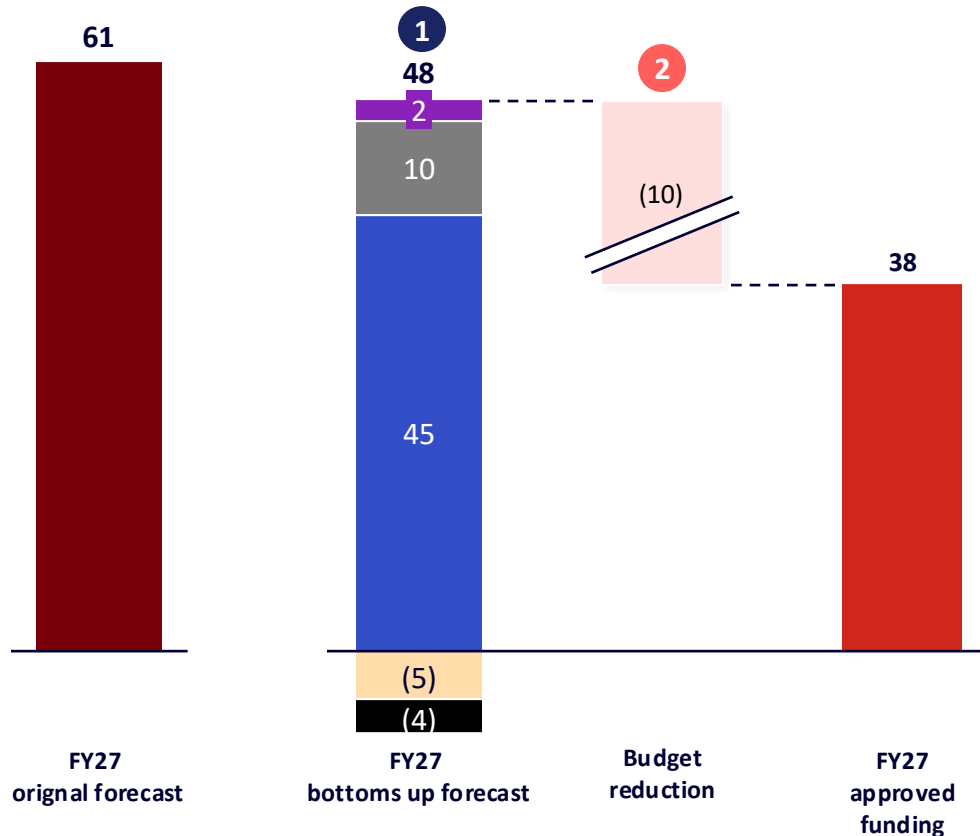
Future feature improvements are being discussed to enhance reporting.



The latest \$38M funding target (vs. \$61M original forecast, \$48M bottoms-up forecast) introduces risk to the FY29 DC 4 & 5 exit timeline

FY26 base + FY27 incremental vs. original forecast | \$M

- Migration & mod. support
- BAU & China Transfer
- Central costs & licensing
- ESI infra. drawdown
- Cloud consumption



(1) Includes \$4M of ANZ + China transfer that was not considered in the FY27 original forecast
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Key highlights

1 FY27 \$48M bottoms up forecast

- **Bottoms-up demand plan** tied to **RUN**, and **ESI** product migration sequencing and dependencies
- **Consumption, modernization, and central platform** costs modeled based on workload ramp and required cloud foundations
- **Net of offsets** (e.g., CSP credits, ESI infra. drawdown)

2 \$10M gap to approved \$38M Cloud Mod budget

- Actively working to **align to FY27 funding** through **prioritization, sequencing, and risk management**, with further **alignment required on key tradeoffs**
- **Near term budget reductions** require **deferral** of select **foundational investments**, trading off **migration velocity, platform maturity**, and timing of **cloud cost optimization** benefits
- These tradeoffs ultimately **introduce risk** to the **FY29 DC 4 & 5 exit date**, potentially delaying the timeline

To bridge the gap, budget cuts across the program will need to be made; \$3.8M of risk is slated to be carried into FY27

FY27 Cloud Mod budget by cost area

Cost area		Bottoms up forecast	Bridge to approved \$38M	Revised FY27 forecast
A	Cloud consumption & hosting	45.1	(1.5)	43.6
B	Migration / modernization support, central cloud & licensing	12.0	(5.2)	6.8
Subtotal		57.1	(6.7)	50.4
C	Gross cost adjustments	(8.6)	-	(8.6)
Total		48.5	(6.7)	¹ 41.8

¹ \$41.8M revised FY27 forecast — \$38M approved budget = **D** \$3.8M remaining risk

Key highlights

A Cloud consumption **\$45.1M → \$43.6M**

- Estimated reduction in cloud consumption and hosting: \$1.5M
 - Impacted products to be determined
- Optimization of spend through build and migration
- Potential savings through product migration sequencing flexibility

B Migration / modernization support, central cloud & licensing **\$12.0M → \$6.8M**

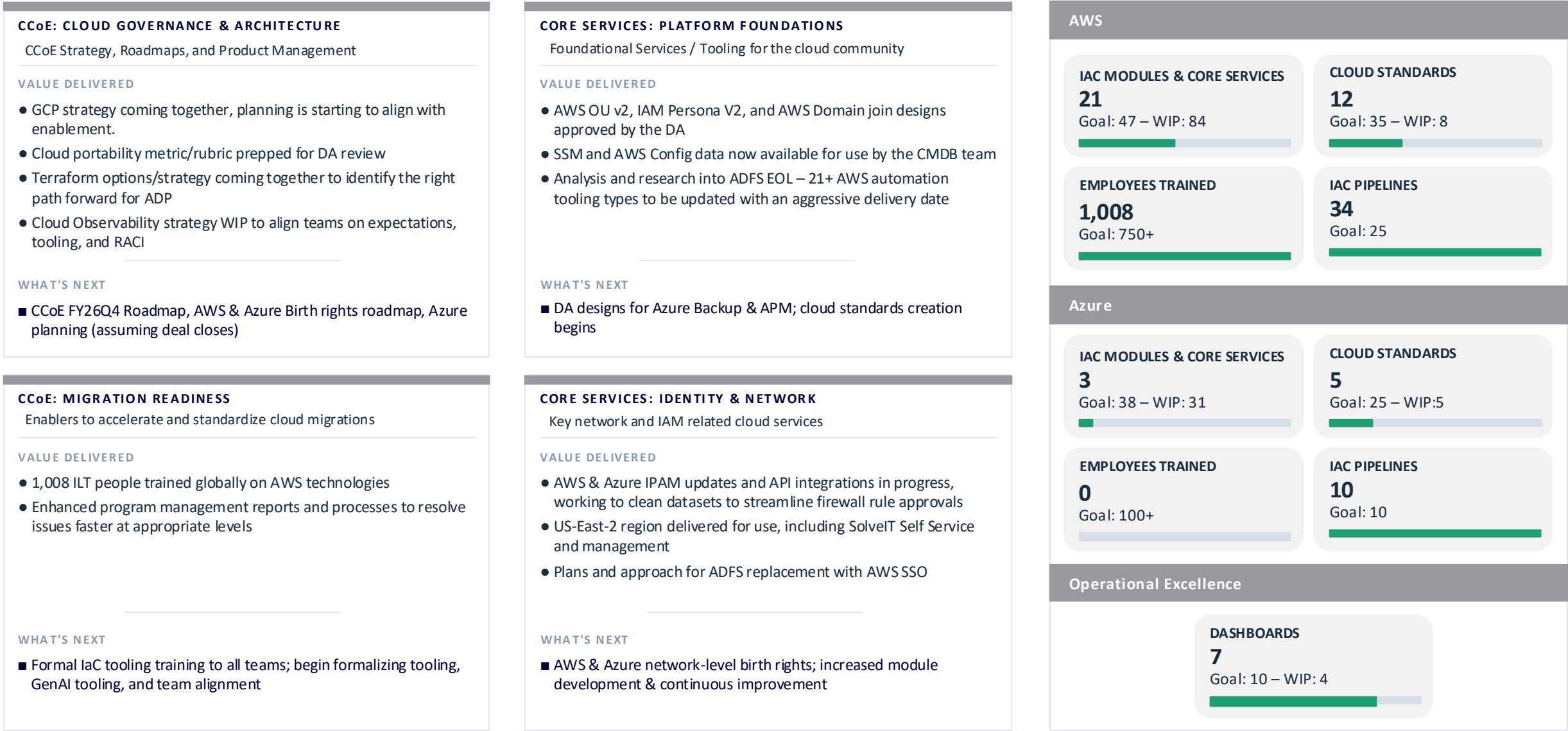
- ESI resilience, modernization, and scaling support: \$2M
- Terraform Cloud licensing and multi-cloud networking: \$2.4
- Network security foundations: \$0.8M

D Remaining risk **\$3.8M**

- Power Switch on non-prod workloads plus storage / snapshot cleanup for immediate consumption reduction
- Align migration wave timing with DC decommission to compress dual-running costs
- Evaluating opportunities to accelerate DC infrastructure drawdown to offset risk

The foundation is built, now we are scaling migration at speed

CCoE & Core Services: FY26 progress snapshot



Raid summary (Critical and High)

[ADP Cloud Program Tracker Link](#)

High severity & high visibility - risks, assumption, issues, and decision needs				
Type	Item	Description	Owner	Priority
Risk	Azure Resources	Delays in the execution of the Azure MACC agreement have delayed the start of planned azure resources, resulting in schedule delays in the published Azure roadmap	Brad Linder	High
Risk	Active Directory Resourcing	AD has potential risk regarding the June 1st go live for pub.ehc and ehc.adp as resourcing constraints may occur over the next month with the ADP teams OOO calendar. This will push back infra builds, thus making go live dates at risk	Seema Jayaram	High
Issue	Domain Management	We need an automated toolset to allow for advanced AD operations around configurations required for SQL server and other infrastructure components	Seema Jayaram	High
Issue	ARC Portal is required for both AWS & DC to support ATC app	For clients in AWS , ARC portal requires a cookies handling between DC4, F5,ALB to Console De Suivi instances	Benjamin Mehdi	High
Decision	Production Go Live Timeline Change	Decision Required: When a program date is changed who is in charge of the change order and approval	Nate Bivens	High



Appendix

ADFS EOL

ADFS Usage today

- All AWS SSO console logins
- 21+ Automation login use cases so far, Service Account based

Changes to the Console login

- Short Term (End of FY27Q1) – same roles, different login
 - Move to MFA based console login used by Wisely today
 - Custom console roles must be updated (account owners)
- End State (End of FY27) – new roles/personas and login methods
 - 12 new personas are coming, JIT access. Console usage discouraged and audited
 - EntraID & Identity Center

Changes to the AWS automation authentication

- ADFS replaced by an OIDC based solution
- Service accounts replaced by EntraID Applications
- ALL automation jobs must be retooled to work with the new model
- Updates to One CI/CD toolset: dexAWS, withAWS, and adpSSO
- Opportunity to centralize and standardize, design WIP

[More information](#)



Console Logins

3K avg/day

Programatic Logins

3.8M last 30 days
(127k avg/day)

Individual Clients

1.8K last 30 days

21 Access Methods

1. boto3/1 -- 33,441
2. aws-sdk-dotnet-45/3 -- 32,488
3. aws-sdk-dotnet-framework/4 -- 17,957
4. aws-sdk-java/2 -- 17,215
5. aws-sdk-js/3 -- 11,662
6. aws-sdk-go-v2/1 -- 7,542
7. aws-sdk-java/1 -- 3,260
8. aws-sdk-nodejs/2 -- 1,062
9. boto/2 -- 909
10. aws-sdk-cpp/1 -- 704
11. aws-sdk-go/1 -- 246
12. apache-httpclient/4 -- 172
13. aws-cli/2 -- 136
14. aws-internal/3 -- 80
15. aws-cli/1 -- 58
16. aws-sdk-dotnet-coreclr/4 -- 37
17. aws-sdk-dotnet-coreclr/3 -- 13
18. mozilla/5 - 7
19. postmanruntime/7 - 1
20. botocore/1 - 1
21. awspowershell/4 - 1

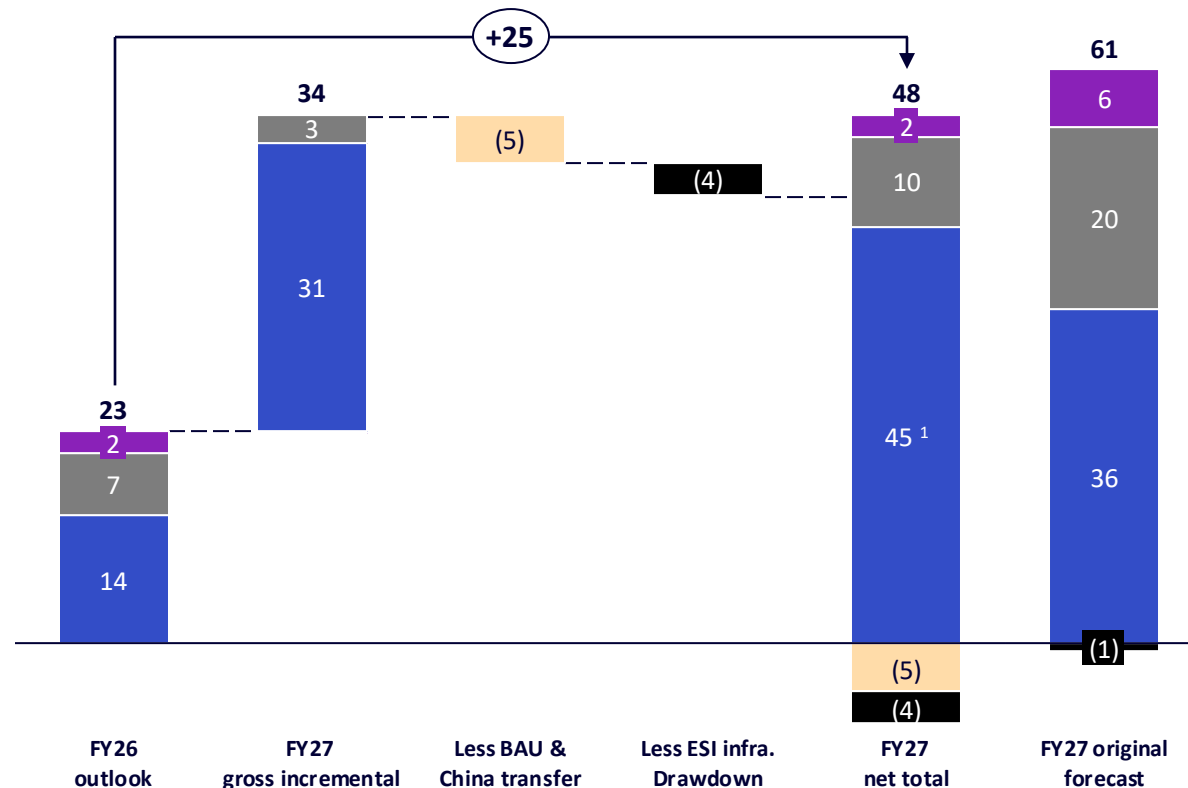
Metrics defined by pillar

	Metric	Definition
Cost	Cost maturity score	Composite rating assessing org capability and process sophistication in cloud financial management practices
	Effective cloud savings rate	Percentage of total cloud spend saved through discounts, reserved instances, spot usage, and negotiated agreements
	Reserve instance coverage	Proportion of eligible running compute hours covered by reserved instance commitments versus on-demand pricing
	Variance from forecasted cloud run rate	Percentage difference between actual cloud expenditure and the previously forecasted periodic cloud spending projection
	On-prem to cloud infra cost variance	Cost difference between maintaining traditional on-premises infrastructure versus equivalent workloads running in cloud environments
Resiliency	Resiliency maturity score	Composite rating measuring org readiness and capability to maintain operations during disruptions and failures
	Multi-region failover	Ability to automatically redirect traffic and workloads to alternate geographic regions during primary region outages
	Apps with multi-region DR deployment	Percentage of applications deployed across multiple regions with active disaster recovery configurations enabled
	DC 4 & 5 decommissioning	Progress toward shutting down legacy data centers 4 and 5 as workloads migrate to cloud
	Cloud server availability	Percentage of time cloud-hosted servers remain operational and accessible, typically measured against SLA targets
Security	Security maturity score	Composite rating evaluating org security posture, controls, and threat response capability across cloud environments
	CIS compliant VMs	Percentage of virtual machines configured in accordance with Center for Internet Security benchmark hardening standards
	Implementation of v2.0 security standards	Progress toward adopting the organization's version 2.0 security framework across all cloud infrastructure and applications
	Compliance adherence	Degree to which cloud resources and processes conform to regulatory, legal, and internal governance policy requirements
	Mean time to detect	Average elapsed time between a security threat occurring and the organization identifying or discovering it
Speed <i>(under discussion)</i>	Speed maturity score	Composite rating assessing org ability to deliver, deploy, and iterate on cloud workloads rapidly.
	Automated deployment rate	Percentage of production deployments executed through automated CI/CD pipelines without requiring manual intervention steps
	Lead time for changes	Average duration from code commit to successful production deployment, measuring delivery pipeline efficiency and velocity
	Workloads enabled for on-demand scaling	Percentage of applications architected to automatically scale compute resources up or down based on demand
	Applications refactored with migration	Proportion of migrated applications re-architected to leverage cloud-native services rather than simple lift-and-shift moves

The FY27 Cloud Mod spend of ~\$48M is trending below the original forecast but remains ~\$10M above the revised incremental target of +\$15M

FY26 base + FY27 incremental vs. original forecast | \$M

Migration & mod. support Cloud consumption ESI infra. drawdown
Central costs & licensing BAU & China transfer



(1) Includes \$4M of ANZ + China transfer that was not considered in the FY27 original forecast
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Note: totals may not add due to rounding

Key highlights

FY27 incremental: ~\$25M

- **Consumption ~\$31M:** Growth driven by completed migrations and ~100+ products scaling in cloud, usage ramps as workloads transition to steady-state
- **Central ~\$3M:** Reinstatement of previously deferred FY26 investments, including identity, network, and platform enablement required to support scale and improve long-term efficiency
- **Migration support (\$0.1M):** Net reduction on migration support relative to FY26, with AWS PPA and CSP credits offsetting delivery
- **BAU & China transfer (~\$5M):** Accounting for workloads shifting from the BAU and China budget into the Cloud Mod budget
- **DC 4 & 5 drawdown (~\$4M)** Of the ~\$6M identified in the more recent ESI business case (up from ~\$1M in the original XCOM plan), ~\$3.5M is expected to materialize in FY27 through mainframe reduction, depreciation fall-off, and Spain DC downsizing; remaining ~\$2.5M is at risk

FY27 total budget 20% lower than initial XCOM approved projection

- FY27 net total of ~\$48M is ~\$11M (20%) below the original \$61M forecast, reflecting **disciplined scope management and partner-funded offsets**
- **CSP credits, vendor consolidation, and DC savings** continue to offset program costs while maintaining migration momentum
- **Reduced central investment in FY26 increases reliance on FY27 funding** to enable platform scale, security, and efficiency

FY27 Cloud Mod net total costs by RUN, DC 4 & 5, mainframe, and APAC

FY27 Cloud Mod budget total costs by category | \$M

Area and cost category	AMER (SBS – RUN)	EMEA (DC 4 & 5)	EMEA (Mainframe)	APAC (ANZ & China)	Total
Migration & mod. support	-	2.3	-	-	2.3
Central costs & licensing	-	9.7	-	-	9.7
Cloud consumption	9.0	32.0	-	4.2	45.1
Cloud consumption transfers	-	(2.6)	-	(2.6)	(5.1)
Data center drawdown	-	(1.9)	(1.1)	(0.5) ¹	(3.5)
Total	9	39	(1)	1	48

Key callouts

- RUN, \$9M, and DC 4&5, \$39M, represent the original business case scope; Mainframe, (\$1M), and APAC, \$1M, consolidated into the Cloud Mod budget for ESI completeness
- EMEA DC 4&5 drives the majority of spend — \$32.0M in cloud consumption with ~80% of the ESI portfolio in-flight by year-end, plus \$12.0M across migration support and central capabilities & licensing
- RUN's \$9.0M of Azure consumption reflects Year 2 ramp pre-client cutover as performance environments, testing, and foundational infrastructure build out continues
- Offsets total (\$8.6M) — DC drawdown (\$3.5M) and consumption transfers (\$5.1M) — reduce gross Section 1 spend from \$57.1M to \$48.5M net

(1) Includes \$0.37M of LATAM drawdown
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Note: totals may not add due to rounding

Unpacking the non-hosting investments within the current budget that enhance ADP's cloud posture

Cost category	Item	What it gets you	Value (\$M)
ESI modernization & resiliency	ESI resilience, modernization and scaling support	Modernization \$\$s that improve resiliency, security, and cost pillars	2
Licensing	Terraform enterprise / cloud	Provides out of the box features to streamline ops and reduce TCO, has features to support estate wide deployments for landing zone management	2
Central cloud capabilities	Virtual firewall deployment	Provides consistent firewall platform that is stateful with more capabilities than the CSP offers natively	1.0
Central cloud capabilities	Network security foundations	Improves throughput for connectivity approvals needed during hybrid transition state	0.8
Central cloud capabilities	Cloud WAN	Interconnectivity between AWS (regions and accounts) –automates and increases bandwidth nearly 10x, solves for manual stitching and potential capacity problems	0.8
Central cloud capabilities	IAM / privileged access	Supports zero-trust and least privilege models required to operate securely outside of DC perimeter controls	0.7
Central cloud capabilities	Multi-cloud networking	Relates to cross CSP routing, DNS, network policy tooling, if cut / deferred, HUB decom is undercut	0.3
Total value			7.6